

GMO Internet Group, Inc. (9449 JP)

Holding-company discount analysis: sum-of-the-parts, bull/bear, pre-mortem, contrarian and activist playbook

Report date: 1 October 2026 | Reference prices: mid/late September 2026 | Currency: JPY

Data integrity note - read first. Company IR sites and most market-data sites were not reachable from the research environment, so figures were assembled from search-engine extracts of company disclosures, exchange filings and aggregators. Several aggregator figures conflicted; where they did, the more internally consistent figure is used and the item is flagged. **(E)** = analyst estimate or derived figure, not a company disclosure. Holdco-only (non-consolidated) net debt and five-year operating histories of the unlisted businesses are **not publicly retrievable** and are shown as scenarios or proxies rather than invented. Verify every input against the latest Securities Report / Tanshin and live prices before sizing a position.

1. Executive summary

- **What it is:** since the 1 Jan 2025 absorption-type split, 9449 is the pure holding company. The operating infrastructure and ad/media businesses sit in the listed GMO Internet, Inc. (4784); financial/crypto in GMO Financial Holdings (7177); payments in GMO Payment Gateway (3769). Founder Masatoshi Kumagai controls roughly **44.6%** (Kumagai office 35.66% + personal 8.98%).
- **The gap:** listed stakes alone are worth about **JPY 510bn (E)** at September prices against a 9449 market cap of about **JPY 355-375bn** (about JPY 3,990/share). The listed stakes are roughly **136%** of the market cap before counting unlisted assets or deducting holdco debt.
- **Base-case NAV (E):** about JPY 530bn (about JPY 5,650/share) against JPY 374bn market cap = **discount of about 29%**. Scenario range 7% to 39% (section 4).
- **Catalysts already in motion:** JPY 30bn buyback authorised 22 Jun 2026 to 21 Jun 2027 (up to 16.0M shares, 16.32% of ex-treasury shares; about 8% of market cap); two earlier buybacks; repeated monetisation of 4784 shares (JPY 7.6bn gain in 2025, JPY 44.7bn gain in May 2026); stated total-return target of 50% of net profit.
- **The risk:** one asset (GMO-PG) is roughly 60% of the listed value, the founder blocks any contested action, and the discount has persisted for years. A de-rating of GMO-PG (about 30x P/E) would shrink NAV faster than buybacks close the gap.
- **View:** attractive discount-narrowing and capital-return situation anchored by listed-asset coverage. Best framed as long 9449 / optionally short a basket of 3769 to isolate the discount (see section 11).

Key statistics

Item	Value	Note
Share price (9449)	about JPY 3,990	18-26 Sep 2026 range JPY 3,924-3,992; JPY 3,210 on buyback day (22 Jun)
Market cap	JPY 355-375bn	Aggregators: JPY 354.7bn (9 Sep), JPY 374.4bn at JPY 3,992
Shares issued / treasury (31 Dec 2025)	about 108.2M / 8,119,400 (7.50%)	Treasury 8.12M per Securities Report; further buybacks since (about 4.2M Nov-Feb) (E)
Ex-treasury shares used	about 93.8M (E)	Implied by JPY 374.4bn / JPY 3,992
H1 2026 revenue / operating profit	JPY 158.7bn (+11.2%) / JPY 34.2bn (+17.1%)	Q1 JPY 81.6bn; Q2 JPY 77.0bn (+9.0%); reporting under IFRS per Q2 briefing
Q2 2026 business profit / net profit (parent)	JPY 15.5bn (+2.5%) / JPY 5.3bn (+11.1%)	Q1 net JPY 6.35bn (+13.5%) so H1 about JPY 11.7bn
FY2025 revenue / net profit	JPY 285.4bn (+2.9%) / JPY 16.75bn (+25%)	Aggregator data; treat as approximate
Largest holders (31 Dec 2025)	Kumagai office 35.66%; MTBJ trust 13.15%; Kumagai 8.98%; Custody Bank 4.91%; Orbis 4.63%	Orbis (CEP LUX-ORBIS SICAV) is a long-term value investor

2. Listed holdings: stakes, values, consolidation and news flow

All stakes below are consolidated by 9449 (control basis), so consolidated accounts include 100% of each and show the rest as minority interest. Values use stake x market capitalisation at mid/late September 2026 reference prices (E where noted).

Holding (ticker)	Stake held	Consol.?	Ref. price / mkt cap (E)	Value of stake (E)	Recent changes / news
GMO Payment Gateway (3769)	41.05% (31 Mar 2026)	Yes (de facto control)	about JPY 9,844 / about JPY 747bn (range JPY 634-747bn by source)	about JPY 307bn	Interim (FY Sep-26) revenue JPY 46.1bn (+13.1%), operating profit JPY 18.8bn (+22.7%). Stake cut 51.7% to 42% in 2018 (JPY 38.4bn). Trades about 30x P/E; owns 56.52% of GMO Financial Gate (4051) - not additive.
GMO Internet, Inc. (4784)	60.5% after May 2026 offering (90.44% at Dec 2025)	Yes	about JPY 523 / about JPY 159bn (E: about 304M shares post issue)	about JPY 96bn	Dec 2025 holding 90.4%; Prime-market free-float offering of 67.9M shares incl. greenshoe at JPY 710 plus 30M new shares for GPU cloud capex; JPY 44.7bn non-consolidated gain. Lock-up on remaining shares to 24 Oct 2026. H1 infrastructure strong (Q2 revenue JPY 48.8bn +13.9%, business profit JPY 12.8bn +25.8%). The earlier 2025 offering was cancelled on 26 May 2025.
GMO Financial Holdings (7177)	65.7% (77.56M shares, Dec 2025)	Yes	about JPY 1,000 / about JPY 118bn (E: about 118M shares)	about JPY 78bn	H1 2026: operating revenue JPY 29.5bn, operating profit JPY 10.35bn, net profit JPY 6.5bn; CFD revenue +79%; sold Hong Kong FX subsidiary (Sep 2025). Holds GMO Click Securities and GMO Coin.
GMO GlobalSign Holdings (3788)	52.00%	Yes	about JPY 1,920 / about JPY 26bn	about JPY 13.5bn	FY2025 sales JPY 20.7bn (record), net income JPY 1.0bn; e-certificate and seal segment about 62% of sales (+10.6% in Q1 2026).
GMO Research & AI (3695)	73.52% (31 Dec 2025)	Yes	about JPY 2,000 / about JPY 8.9bn	about JPY 6.5bn	Renamed from GMO Research (May 2024); stock -20% over one year; small cap.
GMO Pepabo (3633)	55.43%	Yes	about JPY 2,404 / about JPY 12.4bn	about JPY 6.9bn	Raised profit outlook and dividend on a tax benefit from a subsidiary liquidation in 2026.
GMO Prime Strategy (5250)	60.00%	Yes (from Dec 2025)	about JPY 995 / about JPY 3.5bn	about JPY 2.1bn	Tender offer at JPY 1,600/share (26 Nov-23 Dec 2025), 2.21M shares acquired, cost about JPY 3.5bn. Stock now well below the tender price.
GMO Media (6180)	Not confirmed	Yes (believed)	n/a	not valued	Stake percentage could not be verified; likely small relative to NAV. Check the Securities Report.
Total listed stakes (excl. 6180)				about JPY 510bn	GMO-PG about 60%, 7177 about 15%, 4784 about 19%.

Treasury shares

- 31 Dec 2025: **8,119,400 treasury shares (7.50%)** of about 108.2M issued (Securities Report).
- Since then: a JPY 10bn / up to 4.2M share programme (26 Nov 2025 to 12 Feb 2026) and the new JPY 30bn / up to 16.0M share programme (22 Jun 2026 to 21 Jun 2027). Ex-treasury count of about 93.8M implied by market cap data suggests treasury stock of about 14M shares (about 13%) today (E). **Retirement of treasury shares has not been confirmed** - this is an easy, free catalyst to ask for.
- Treasury shares held by listed subsidiaries (e.g. cross-holdings) were not retrievable.

3. Unlisted / private holdings and estimated values

The group does not publish stand-alone financial statements for most unlisted units. The table gives value ranges (E) built from disclosed segment profits, equity-method income and peer multiples. Businesses held through 7177 (Click Securities, GMO Coin) are already captured in the 7177 market value and are listed only for information.

Holding	Route / stake	Disclosed operating data	Value (E)	Confidence
GMO Aozora Net Bank (digital bank)	Equity-method affiliate, believed about 46% held with Aozora Bank (Aozora FY2025 group net JPY 25.7bn)	First profits only recently: net income about JPY 0.8bn in 9M 2025 (JPY 0.6bn in Q3 alone), rising deposits and fees	JPY 25-40bn	Low

Holding	Route / stake	Disclosed operating data	Value (E)	Confidence
GMO Coin (crypto exchange)	Via 7177	Crypto segment 9M 2025 operating profit JPY 1.55bn (-0.9%); 799k accounts (+9.5%, Mar 2026); mining centre offline	In 7177 value	-
GMO Click Securities / FX	Via 7177	Core of 7177; H1 2026 operating profit JPY 10.35bn	In 7177 value	-
GMO GPU Cloud / infrastructure	Via 4784	Infrastructure Q2 business profit JPY 12.8bn (+25.8%); Turing partnership	In 4784 value	-
Incubation, VC funds, other unlisted stakes and strategic assets	Direct and fund holdings	Not itemised in public extracts	JPY 20-40bn	Low
Estimated private total			JPY 45-100bn (mid about 70)	

Operating metrics for unlisted companies (five-year view)

Sales, EBIT, EBITDA, margins and five-year growth for the unlisted entities are **not disclosed**, so no complete table can be built without fabricating numbers. The table below is limited to what could be sourced, plus the audited group figures that frame the segment economics. Request the Securities Report segment note and the Aozora Net Bank / GMO Coin stand-alone releases to complete it.

Entity / segment	Latest sales	Latest profit	Margin / growth	5-yr history
Group consolidated FY2025	JPY 285.4bn (+2.9% vs 277.4bn)	Net JPY 16.75bn (+25%)	Net margin about 5.9%	n/a in extracts
Group H1 2026	JPY 158.7bn (+11.2%)	Operating JPY 34.2bn (+17.1%)	Operating margin about 21.5%	-
Internet infrastructure (4784)	Q2 JPY 48.8bn (+13.9%)	Business profit Q2 JPY 12.8bn (+25.8%)	about 26% business margin	-
Cryptoassets segment	Not retrieved	9M 2025 operating profit JPY 1.55bn	Flat YoY	-
GMO Aozora Net Bank	Not retrieved	Net income JPY 0.8bn 9M 2025	Turned profitable 2025	Loss-making 2018-2024

4. Sum-of-the-parts and non-consolidated net debt / cash

Method for holdco net debt: parent-only net debt = consolidated net debt minus borrowings and cash sitting inside the consolidated listed subsidiaries (7177's customer deposits, segregated client funds and GMO-PG's custodial balances must be stripped out and are not financial debt). The parent-only balance sheet could not be retrieved (the JPY 13.9bn cash and JPY 4.1bn debt found in search results belong to GMO Internet, Inc. (4784), not the holdco). The holdco is modelled as a scenario of **JPY 0-100bn net debt (base 50bn) (E)**. This is the single largest unverified input and should be replaced with the parent-only balance sheet (non-consolidated notes in the Securities Report).

JPY bn	Low	Base	High
Listed stakes (7 holdings)	459 (10% block-sale haircut)	510	510
Private holdings	45	70	100
Less holdco net debt	(100)	(50)	0
Net asset value	404	530	610
NAV per share (93.8M shares)	JPY 4,307	JPY 5,650	JPY 6,503
Market cap (JPY 3,990)	374	374	374
Discount to NAV	7%	29%	39%

Tax on unrealised gains at a deemed disposal is partly offset in the low case by the block-sale haircut; a stricter capital-gains-tax adjustment on low-basis holdings (GMO-PG, 7177) could cut NAV by a further JPY 30-60bn (E). Even then the base discount stays above 20%.

5. Bull case: why own it and how the discount narrows

- **Hard asset coverage:** the market cap is covered about 1.36x by listed stakes alone; paying JPY 374bn for about JPY 510bn of marked-to-market listed holdings plus private assets.
- **Operating momentum:** H1 2026 operating profit +17.1%; infrastructure Q2 business profit +25.8%; GPU cloud and AI demand give 4784 a growth story the parent can still capture (60.5%).
- **Aggressive and rising capital return:** JPY 10bn (2025), JPY 10bn (Nov 2025 to Feb 2026) and JPY 30bn (Jun 2026 to Jun 2027) of buyback authorisations. If the full JPY 30bn is done at a 29% discount, buying about 7.5M shares (8%) at JPY 3,990 lifts NAV/share by about 2.5% (E).

- **Policy:** total return target 50% of attributable net profit (dividends at least 33% of profit, buybacks the balance). At H1 annualised profit near JPY 23bn this implies at least JPY 11bn a year, and the announced JPY 30bn is well above that.
- **Management has shown willingness to monetise:** 4784 sell-down (two attempts, one cancelled in May 2025 on market conditions, completed in 2026), Thai crypto exit, Hong Kong FX sale, 2018 GMO-PG sell-down.
- **Structural clean-up:** the January 2025 split makes 9449 a transparent holdco, and TSE Prime / capital-efficiency reforms push Japanese parents with listed subsidiaries to simplify.
- **Optionality not in the price:** Aozora Net Bank profitability, GPU cloud, crypto and AI incubation sit at modest implied values.

6. Bear case: why the discount widens or stays static

- **Concentration:** GMO-PG is about 60% of listed value and trades at about 30x P/E. A 20% de-rating removes about JPY 61bn of NAV (about 16% of market cap).
- **Controlled company:** Kumagai (about 45%) plus allied holders give no path to a contested action; the group has historically been built by listing and growing subsidiaries rather than liquidating them. Minority holders have limited leverage.
- **Persistent discount:** the holdco discount has existed for years; JPY 50bn of authorised buybacks over about 18 months has not eliminated it. Static discounts are the market's base case for Japanese parents with listed subsidiaries.
- **Overhang from 4784:** the lock-up on the remaining 4784 stake expires **24 Oct 2026**; further sell-downs for free-float or capex funding are likely and can pressure 4784, reducing the parent's NAV.
- **Capital intensity:** GPU cloud capex is large; the parent supported it through the 30M-share issue and the Turing partnership. If GPU pricing/demand turns, returns fall while debt service stays.
- **Cyclical earnings:** FX, crypto and CFD revenue (7177) are volatile; H1 CFD revenue +79% is a peak-style print. Securities and exchange businesses also carry regulatory and cyber risk.
- **Leakage:** minority interests in listed subs, tax leakage on any realisation, holdco costs and holdco debt mean a realisable NAV is lower than gross SOTP.
- **Governance headlines:** repeated listing of subsidiaries and then selling down to meet listing rules attracts TSE scrutiny (parent-subsidiary listing guidelines).

7. Management actions taken to narrow the discount

Date	Action	Effect / evidence
Jan 2025	Absorption-type split: infra and ad/media moved into 4784; 9449 became a pure holdco	Cleaner look-through and SOTP
2018	Sold 7.2M GMO-PG shares (9.7%), stake 51.7% to 42%	JPY 38.4bn proceeds, JPY 37.4bn extraordinary profit
2025	Buyback programme (about JPY 10bn target, completed Sep 2025)	Reduces share count
May 2025	Planned 4784 secondary offering (reported about USD 2bn) cancelled on 26 May on market conditions	Shows discipline on price
Jul 2025	Partial sale of 4784 shares	About JPY 7.6bn extraordinary gain
2025-26	7177 sold Hong Kong FX subsidiary (Sep 2025); Thai crypto subsidiary exit announced	Portfolio pruning
Nov 2025 - Feb 2026	JPY 10bn / 4.2M share buyback (4.14%)	Executed
Nov-Dec 2025	Prime Strategy tender offer at JPY 1,600 to 60%	Adds a listed holding (negative for simplification); stock now about JPY 995
Policy	Total return target 50% of attributable net profit (dividends at least 33%)	Policy anchor
May 2026	4784 secondary offering with greenshoe (67.9M shares at JPY 710) plus 30M new shares; stake 91.9% to 60.5%	JPY 44.7bn non-consolidated gain; monetises the stake; lock-up to 24 Oct 2026
19 Jun 2026	JPY 30bn / up to 16.0M share buyback to 21 Jun 2027	Stock +7% on the day to about JPY 3,210; now about JPY 3,990

Not yet done: cancellation of treasury shares, a formal SOTP/discount KPI, an intra-group tender offer or merger of small caps (3695, 3788, 3633, 5250, 6180), or a distribution of GMO-PG shares.

8. Valuation check and pre-mortem

Is the current price too high?

- The stock is up about 24% since the buyback announcement (JPY 3,210 to JPY 3,990), so part of the easy discount tightening has already happened. At about JPY 374bn and about JPY 23bn annualised attributable profit, 9449 trades near 16x P/E, not cheap on consolidated earnings; the case rests on NAV, not earnings.
- NAV is mark-to-market on rich subsidiary multiples (GMO-PG about 30x). On a de-rated 22x GMO-PG (-27%), base NAV would drop to about JPY 448bn and the discount to about 17%.
- Conclusion: valuation is **not stretched on asset coverage**, but the margin of safety is thinner than in June and depends on subsidiary prices.

Pre-mortem: assume the position loses 30% in twelve months. Why?

Failure mode	Mechanism	Early-warning signal
GMO-PG de-rates	Payments multiple compression; take-rate or competition pressure; NAV falls about JPY 60-90bn	3769 P/E below 25x; weaker H2 net revenue growth
4784 lock-up expiry	Block sale of remaining 60.5% or a second placement hits 4784 price and parent NAV	Disclosure after 24 Oct 2026; ToSTNeT / secondary filing
Buyback stalls	Management slows repurchases as cash goes into GPU capex or M&A;	Weekly buyback reports; Treasury share count not rising
GPU cloud capex trap	Overbuilt GPU fleet, price deflation; parent injects more capital	Utilisation, new share issues, 4784 leverage
Crypto / CFD reversal	Volumes fall; 7177 earnings halve; 65.7% stake value drops about JPY 25-35bn	Monthly CFD revenue; crypto volumes
Holdco leverage larger than assumed	True holdco net debt above JPY 100bn narrows NAV discount to near zero	Parent-only balance sheet in Securities Report
Index / flow	Passive selling, FX or Japan rates shock; discount widens on risk-off	Discount history, JPY, JGB yields

9. Contrarian view: what the market is refusing to see

- **The discount is a policy choice, and the policy has changed.** Three monetisation events in 18 months, a cancelled-then-completed offering and JPY 50bn of buyback authorisations show a founder who is now actively converting subsidiary value into per-share value. The market is still pricing the old 'empire-builder' parent.
- **The JPY 30bn buyback is structural.** The programme covers up to 16M shares or JPY 30bn, whichever comes first, i.e. about 7.5M shares (8%) at today's price. Buying at a 29% discount beats a dividend and lifts NAV/share about 2.5% (E); the lift compounds if repeated annually and the shares are cancelled.
- **4784 is valued as a hosting utility, but it contains a GPU/AI cloud.** At JPY 159bn market cap, the parent's JPY 96bn stake prices optionality at low multiples; any AI-infrastructure re-rating flows 60.5% to 9449.
- **The founder wants the discount closed.** Kumagai owns about 45% and has the largest personal exposure; he is paid in NAV/share, not in empire size. Take-private of small caps or a GMO-PG share distribution costs him nothing.
- **Free float / TSE rules force simplification.** Prime-market continued-listing criteria are the reason for the 4784 sell-down; the same rules bear on 3695, 3788, 3633 and 5250, which may be rolled up or sold.
- **Aozora Net Bank's break-even is ahead of the market.** A digital bank turning profitable after seven years is rarely valued by the market on a holdco; any monetisation or partial sale would be a clear mark.

10. Shareholder activism: feasibility and playbook

Feasibility: low for a hostile campaign, moderate for constructive engagement. Kumagai (about 45%) plus the Master Trust and Custody trust accounts mean ordinary and special resolutions are effectively in his hands. A shareholder proposal cannot pass without him. The leverage is reputational, TSE-driven and through the other listed subsidiaries' minority holders.

Lever	Ask	Why it can work
Capital allocation	Raise buyback to JPY 60-80bn over 24 months; cancel treasury shares; adopt a written discount-to-NAV KPI; 100% FCF return	Buyback already announced; accelerating costs the founder nothing
Simplification	Take-private or merge 3695, 3788, 3633, 5250 and 6180; distribute or sell a slice of GMO-PG	TSE reform pressure; small caps have under JPY 30bn market caps
Asset sales	Sell Aozora Net Bank stake and non-core incubation; sell down 7177 or GMO-PG into the buyback	Funds repurchases at a roughly 29% discount to NAV
Disclosure	Publish holdco-only balance sheet, a SOTP bridge, segment history for unlisted units	Removes the information discount
Governance	Independent director majority on a capital-allocation committee; TSR / NAV-per-share-linked pay	Aligns with Japan's Corporate Governance Code

Lever	Ask	Why it can work
Coalition	Orbis (4.63%), domestic trusts and index holders; targeted minority engagement at GMO-PG and 7177	Orbis is a long-term value-style holder and the fifth-largest shareholder

Playbook sequence: (1) private letter and meeting with the IR/CFO and founder; (2) public white paper with SOTP and the 'discount is a choice' thesis; (3) coalition with Orbis and trust-bank holders; (4) vote-against campaign on director re-elections or capital allocation proposals; (5) focus on the smaller listed subsidiaries' independent minorities to force intra-group transactions.

11. Positioning summary and what would change the view

- **Positioning:** long 9449 for a base-case discount of about 29% narrowing to 15-20% (about 13-20% upside), plus buyback accretion. Optional hedge: short GMO-PG or a payments basket to isolate the discount from payments beta.
- **Upgrade triggers:** treasury-share cancellation; holdco-only balance sheet showing net cash; announced simplification or GMO-PG share distribution; 4784 sold-down pricing at or above JPY 700.
- **Downgrade triggers:** buyback pace falling below JPY 2bn a month; GMO-PG P/E below 25x; holdco net debt above JPY 100bn; major new M&A or a listing of another subsidiary.

12. Data gaps and sources

- **Not obtained:** holdco-only balance sheet; stake in GMO Media (6180); exact treasury share count at September 2026; stake in Aozora Net Bank; five-year operating metrics for private units; treasury shares held within subsidiaries.
- **Principal source types:** GMO Internet Group Q1/Q2 2026 results releases and briefing summaries; Securities Report FY2025 (major shareholders, treasury shares); TDnet notices of 14 May 2025, 26 May 2025, 29 Jul 2025, 25 Nov 2025, 19 Jun 2026; GMO Internet, Inc. disclosures (20 Apr 2026, 22 May 2026); GMO Financial Holdings H1 2026 earnings summary; GMO GlobalSign controlling-shareholder disclosure (Apr 2026); market-data aggregators for prices (MarketScreener, Yahoo Finance, finboard, investing.com, TipRanks, FilingReader summaries).
- This report is analytical research for a professional investor and is not a recommendation to buy or sell any security.